and is defined as $x = f(p)$ or $p = f(x)$, where $x > 0$ and $p > 0$.

Graph of the demand function, $\boldsymbol{x = f(p)}$

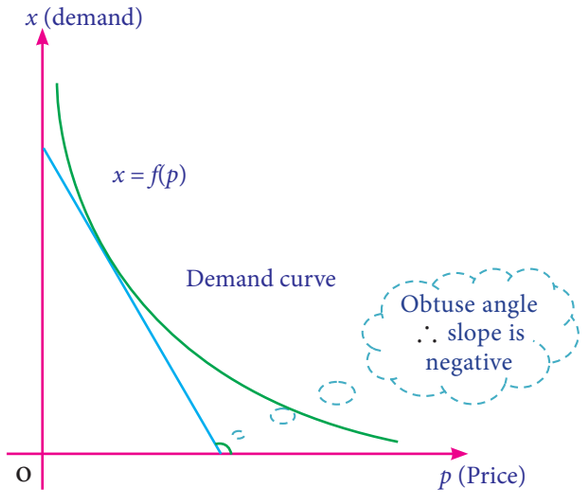


Fig : 6.1

DO YOU KNOW?

The "demand - price relationship" curve illustrates the negative relationship between price and quantity demanded.

Observations

(i) Price and quantity of the demand function are in inverse variation.

(ii) The graph of the demand function lies only in first quadrant.

(iii) Angle made by any tangent to the demand curve with respect to the positive direction of x – axis is always an obtuse angle.

(iv) Slope of the demand curve is negative(–ve).

Supply function

In a market, the quantity of a commodity supplied by producer depends on its price. If the price of the commodity increases, then quantity of supply increases and if the price of the commodity decreases, then quantity of supply decreases.

The relationship between the quantity and the unit price of a commodity supplied by producer is called as **supply function** and is defined as $x = g(p)$ or $p=g(x)$ where $x > 0$ and $p > 0$.

The graph of the supply function, $x= g(p)$

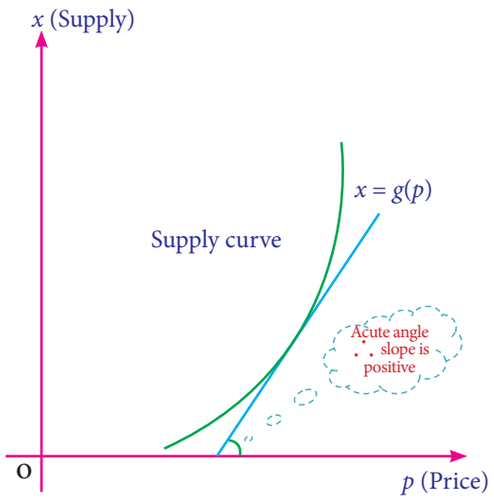


Fig : 6.2

DO YOU KNOW?

The "supply - price relationship" curve illustrates the positive relationship between price and quantity supplied.

Observations

(i) Price and quantity of the supply function are in direct variation.

(ii) The graph of supply function lies only in first quadrant.

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